CORPORATE STAKEHOLDERS AND GOVERNANCE

Learning Outcome

- describe a company's stakeholder groups and compare their interests

The prior lesson addressed the claims, relative risks and returns, and potential conflicts among debtholders and shareholders. Corporations operate in a complex ecosystem where the interested parties are a much broader group than shareholders alone. These parties depend on the company—and the company depends on them—for economic success, though their short- and long-term goals may be in conflict. A corporation's ability to maximize shareholder return and meet debt and other obligations may be either compromised or enhanced by the actions of these parties, known as **stakeholders**. A stakeholder is any individual or group with a vested interest in a company. Financial analysts must understand and incorporate these groups and their actions into their assessment of a firm's expected performance and risk profile.

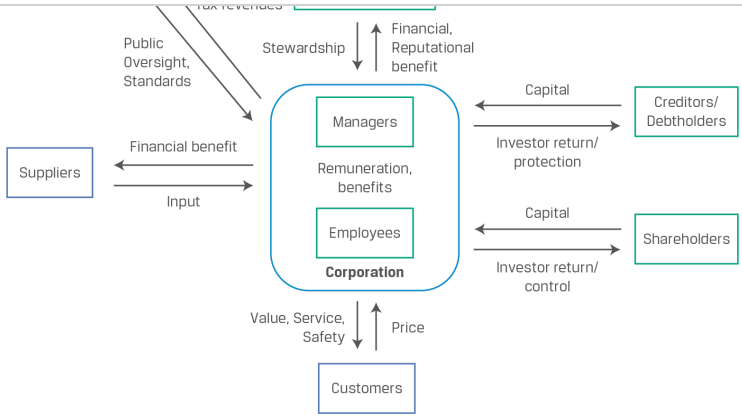
Primary stakeholder groups and their roles in a corporation include:

- debt and equity investors;
- a board of directors that supervises the corporation's activities;
- managers who execute the board's strategy and run operations;
- employees who provide human capital for the firm's operations;
- customers who demand the company's products and services;
- suppliers who provide the raw materials and goods and services not generated internally, including functions that are outsourced;
- governments that establish rules and regulations, collect taxes, and provide a variety of public goods and services; and
- other individuals and the non-human environment affected by the company's products and processes.

Exhibit 6 illustrates the primary stakeholder groups and describes their involvement with the corporation.

Exhibit 6:

Key Stakeholder Groups



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Shareholders versus Stakeholders

In a typical corporation, shareholders elect the board of directors, which hires managers to serve the interests of shareholders. The interests of other parties—such as creditors, employees, customers, and even society—are considered only to the extent that they affect shareholder value. This concept is referred to as the **shareholder theory of corporate governance**.

In contrast, the **stakeholder theory of corporate governance** suggests that corporate governance should consider *all* stakeholder interests, not just those of shareholders. For example, it is often suggested that environmental, social, and governance (ESG) considerations be an explicit objective of the board of directors and management. This approach gives rise to several challenges, including:

- complexity of balancing multiple objectives;
- defining, measuring, and balancing non-shareholder objectives;
- competing globally if competitors do not face similar constraints; and
- direct costs of adhering to higher ESG standards.

Shareholder versus Stakeholder Theories of Corporate Governance

The shareholder and stakeholder theories of corporate governance are not necessarily at odds with each other. In a famous 1970 essay espousing the shareholder theory, "The Social Responsibility of Business Is to Increase Its Profits," economist Milton Friedman noted as much, particularly if management is taking a long-term perspective:

> *"It may well be in the long-run interest of a corporation that is a major employer in a small community to devote resources to providing amenities to that community or to improving its government. That may make it easier to attract desirable employees, it may reduce the wage bill or lessen losses from pilferage and sabotage or have other worthwhile effects. Or it may be that, given the laws about the [tax] deductibility of corporate charitable contributions, the stockholders can contribute more to charities they favor by having the corporation make the gift than by doing it themselves, since they can in that way contribute an amount that would otherwise have been paid as corporate taxes."* [1]

We turn our attention next to describing a corporation's primary stakeholder groups.

Investors

The prior lesson distinguished between shareholders' residual claims to corporate cash flows and debtholders' finite, fixed claims, which are senior to those of shareholders.

lender rights at the inception of a debt contract, **private debtholders** and public debtholders (**bondholders**) differ in several ways.

Private debtholders, such as banks and other institutions that offer loans, credit facilities, and leases, often hold a debt investment to maturity. They typically have direct access to company management and non-public information, which lowers information asymmetry. Since an individual bank or private lender can be a critical source of financing, particularly for a small or mid-sized company, they may have great influence over the company. The relaxation of debt restrictions and extension of further credit—or refusal to do so—by a single private lender can be far more impactful for companies with limited access to capital markets than for those with broad debt market access.

Private lenders may also have a wider variation in their risk appetite, approach, behavior, and relationships with borrowers. For example, a commercial real estate lessor may primarily care about receiving lease payments, the upkeep of the real estate, and whether it can renew or re-lease the asset at attractive rates. In other cases, a lender may hold *both* debt and equity in a company or take a more equity-like approach to evaluating the business. Finally, some private lenders specialize in lending to businesses as they either approach, or are in, bankruptcy.

Bondholders, which are often institutional investors and asset managers, rely on public information such as financial statements to make investment decisions. These investors usually have little to no influence over an issuer's operations, relying instead on the terms of the debt contract negotiated at inception. While it is relatively more difficult to gain the consent of bondholders versus private lenders to change the terms of an existing agreement, bondholders can sometimes exercise significant influence if a firm in financial distress must restructure outstanding public debt.

Board of Directors

A company's board of directors is elected by shareholders to advance shareholders' interests. The board is responsible for hiring the CEO and monitoring company and management performance. Boards often include both **inside directors** (including founders and current and former managers) and **independent directors** (no material relationship with the company, including employment, family ties, and so on), who may better represent the interests of minority shareholders. Major stock exchanges maintain corporate governance standards with which listed companies must comply, and these standards often include director independence requirements. For example, the London Stock Exchange requires at least half of the directors of listed companies to be independent, and the Singapore Exchange listing rules state that "there should be a strong and independent element on the board" with a majority of non-executive directors. Besides independence, corporate governance standards also typically require boards to include a diversity of backgrounds, expertise, and competencies. Director duties are mandated by laws that vary by jurisdiction, but directors are usually required to display a high standard of prudence, care, and loyalty to the company.

While the single-tier board structure is prevalent in the USA and the UK, a two-tier corporate governance structure is common in Continental Europe and is legally mandated in some countries (e.g., Germany). Under the two-tier model, a separate **supervisory board** is elected to oversee the activities of the board of directors. The supervisory board consists of directors from among corporate stakeholders, including shareholders, employees, labor unions, the public at large, and, in some cases, government representatives for firms with state ownership. While the board of directors remains responsible for strategy and management oversight in the two-tier system, the supervisory board may appoint or dismiss board members and must approve selected board decisions, among other duties.

Although most boards hold simultaneous elections for specific terms (e.g., all board members elected annually or bi-annually), some companies have **staggered boards**, with

continuity without constant reassessment of strategy and oversight by new board members, which may introduce short-termism into company strategy. Staggered boards are common in Australia and several European countries.

Managers

Led by the chief executive officer (CEO), managers are responsible for determining and implementing the strategy of the corporation, under the oversight of the board of directors, as well as day-to-day operations. Senior executives and other high-level managers are usually compensated via a base salary in cash and an annual bonus that often involves cash and stock, as well as a multi-year, stock-based incentive plan and other benefits. In addition to preventing manager attrition, compensation structures are designed to align manager interests with those of shareholders and other stakeholders.

Employees

A corporation relies on the labor and skills, or **human capital**, of its employees to provide its goods and services. In return, employees typically seek competitive compensation and benefits, development opportunities, job security, and a safe and healthy work environment. In some industries and/or countries, workers join labor unions to collectively negotiate compensation, benefits, working conditions, and other matters with management. Employees may have an equity investment in their employer through equity-based participation plans (such as profit sharing, share purchases, or stock options) beyond their financial interests as employees. For most employees, equity ownership is a minor component of total compensation but can be significant in some cases.

Customers

Customers expect a company's products or services to satisfy their needs at a reasonable price while meeting applicable quality and safety standards. Depending on the product or service and their relationship with the company, customers may seek ongoing support, product guarantees, and after-sale service. While major corporate customers may exercise significant influence over a company, the loyalty and satisfaction of retail customers are also often correlated with revenue and profit growth. The environmental or social impact of products is of growing importance to customers. For example, brand boycotts and shareholder actions in response to negative environmental and social effects, as well as product-related controversies, may adversely affect sales and profits.

Suppliers

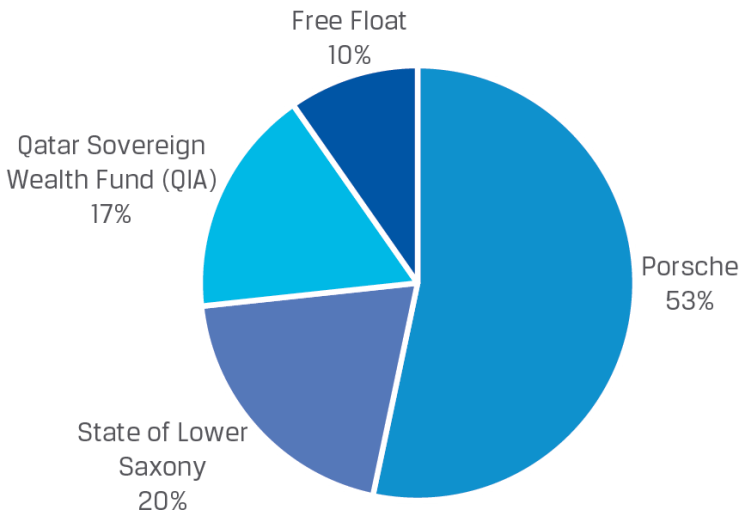
A company's suppliers include suppliers of raw materials and intermediate goods as well as software and outsourced services like call centers and payroll. Suppliers are often also short-term creditors with a primary interest in being paid in a timely manner for products or services delivered.

When a company is in financial distress, the financial position of its suppliers may be affected as well as their willingness to extend additional credit to the company. However, suppliers also have long-term interests in companies, as they seek to build and maintain mutually beneficial relationships. Supplier interest in a company's long-term stability is important when products are specialized and one or both parties have invested in the relationship through product design, training, or customization.

Governments

Governments seek to advance the interests of their constituencies and ensure the well-being of the economies over which they preside. Because corporations have a significant effect on economic output, capital flows, employment, social welfare, and the environment, among other factors, regulators have an interest in ensuring that corporations comply with applicable laws. Moreover, corporations and their employees are a major source of tax revenue.

Volkswagen (VW) Voting Rights Composition as of 31 December 2021



Source: Volkswagen AG 2021 Annual Report

Volkswagen AG (VW) was fully government owned from 1937 until it issued public shares in 1960. The German state of Lower Saxony, where VW is the largest private employer, retained a 20% share of voting rights. A German law (the "Volkswagen law") was enacted when VW went public, requiring *over* 80% of votes for major matters to pass, effectively giving the state veto power.

German auto rival Porsche AG (wholly owned by the Porsche family) sought to take over Volkswagen in 2007. Instead, the two companies merged in an equity deal that left the Porsche family as VW's largest shareholder.

While the Porsche family's majority voting rights give it power over the board of directors, the supervisory board is equally divided between labor and shareholder representatives. Given its 20% voting stake and the Volkswagen law, the government of Lower Saxony partners with labor representatives to promote the retention of local employees by vetoing domestic plant closures, cost reductions, and other measures that adversely affect union employees.

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Knowledge Check

1. Which stakeholders would *most likely* realize the greatest benefit from a significant increase in the market value of the company?

A. Creditors
B. Customers
C. Shareholders

Hide Solution

Solution:

C is correct. Shareholders have residual claims on the company, and their wealth is directly related to the market value of the company. A is incorrect because creditors are usually not entitled to any additional cash flows (beyond interest and debt repayment) if the company's value increases. B is incorrect

Question Set

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1. Briefly discuss how the shareholder and stakeholder theories of corporate governance may in fact be aligned with each other.

Hide Solution

Solution:

The stakeholder theory considers balancing the objectives of shareholders, debtholders, and the broader set of stakeholders that have a vested interest in the success of the firm. It may be in the shareholders' best interests in the long run to make decisions within this broader framework. For example, high wages and good working conditions can lead to productive employees and low employee turnover, which boosts profits.

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2. Applying the stakeholder theory of corporate governance requires:

A. balancing multiple objectives only.
B. measuring non-shareholder objectives only.
C. both balancing multiple objectives and measuring non-shareholder objectives.

Hide Solution

Solution:

C is correct. To implement the stakeholder theory of corporate governance, it is necessary to both measure non-shareholder objectives and balance the objectives of shareholders and non-shareholders.

3. Identify and explain a method of aligning the interests of shareholders, managers, and employees.

Hide Solution

Solution:

Aligning manager and employee interests with those of shareholders can be accomplished with performance- and/or share-based compensation. Shareholders seek an increase in profits and firm value, and performance-based compensation—such as bonuses based on profit or shareholder return measures, or profit sharing with employees—would align manager and employee interests with shareholder interests. Awarding shares or stock options to employees and managers increases alignment, as employees and managers become shareholders themselves.

4. Compared with public debtholders (e.g., bondholders), private debtholders (e.g., banks, lessors):

A. have less influence over company management.
B. have access to non-public information about the company.
C. are less likely to consent to changes in the debt contract.

Hide Solution

Solution:

B is correct. Private debtholders, including banks and other direct lenders, typically have direct access to management and non-public information, which lowers information asymmetry.

with borrowers than bondholders do and thus are more likely to allow changes in the debt contract, such as changing covenants.

5. Which of the following board structures would most limit shareholders' ability to effect a major change in the management of a firm?

A. Majority inside, staggered
B. Majority independent, staggered
C. Majority independent, non-staggered

Hide Solution

Solution:

A is correct. A board with a majority of inside directors could more easily resist outside change than one with a majority of directors who were independent of management. Also, a staggered board would allow only a portion of the directors to be voted out each year, so it would take several years to replace a majority of directors.

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